Tibetan population that China was planning to expel India from Tibet, in order to create panic among the Tibetan population.

India brought more pressure on itself by becoming anxious about concluding a settlement before the Geneva Conference began in May 1954. Again, the primary consideration for this was not national security but India's international image. Nehru wrote to Raghavan on 16 April 1954 to urge him to close the deal, saying, 'If the Indo-Chinese Agreement on Tibet is signed and announced soon it will have salutary effect. If, however, this is postponed indefinitely, this will have contrary effect . . . This will create impression of failure which will not be good.' [39] By stretching out the negotiations, China thus managed to get India to give up even the lesser demands. In a final act of misplaced magnanimity, India ultimately even waived off the financial compensation that China had agreed to pay in return for the turning over of Indian post and telegraph facilities, guest houses and vacant land in Gyantse, Yadong and Lhasa by India to the Chinese side. The four-year Chinese effort was a complete vindication of China's strategy and negotiating abilities.

In a note recorded post-facto, Indian chief negotiator T.N. Kaul justified giving up most of the special privileges on the grounds that in the 1908 Trade Agreement with Tibet, the British Indian Government had already agreed to return them to Tibet when it was ready to assume the responsibility of governing itself. [40] Kaul conveniently side-stepped the fact that China, in any case, had annulled all earlier treaties, and that being the case, India was not obliged to comply with any of its provisions. Kaul also claimed that India had benefitted from the new trade agreement with China, and he listed the recognition of the boundary, by implication, as one such important gain. This claim was made because China had named six border passes in the Middle Sector for purposes of conducting trade